E-COMMERCE

SO, WHAT'S NEU? TATA'S NEW APP

By M.G. Arun

It's a familiar feeling—sifting hurriedly through 50-odd apps downloaded on our phones to look for the one app we need in the moment. A "superapp" in such a situation would be quite the time-saver, a one-stop solution for all one could want—shopping for clothes, medicines or groceries, paying utility bills, browsing social media sites, booking a hotel or even buying airline tickets. On April 7, the Tata Group launched its much-publicised Tata Neu app for commercial use. It brings together all of its digital services and apps on a single platform with the possibility of onboarding third-party apps, too, in the future. Until Tata Neu, the Paytm app, launched in 2010, and Reliance's MyJio app, launched in 2016, with 100 million downloads each on Google Play Store, were said to have been the closest thing to what a superapp could offer. By April 18, Tata Neu had already seen over a million downloads on Play Store.

"Our aim is to ensure that Neu becomes a superapp which simplifies the life of every consumer, from a product, services and financial needs point of view," said N. Chandrasekaran, chairman of the Tata Group, at the launch. "And for that, the offerings may come from the Tata stable or from outside." The company will reward its users with 'Neu Coins' for spending on the app, which will be redeemable through the Neu Pass loyalty programme. Experts say this is a key factor distinguishing the app from others. "The biggest differentiating feature of the app is its loyalty programme with a single reward points system for all brands," says Varun Mishra, a senior analyst with Counterpoint Research.



THE SUPERAPP QUEST

(No. of downloads on Google Play Store, till Apr. 19, 2022)

MyJio	Paytm	Tata Neu
100 million+	100 million+	1 million+
(2016*)	(2010*)	(Apr. 2022*)

Year of launch (*)

"For example, points earned by spending on a hotel booking can be used for consumer appliances in Croma, giving customers a lot more flexibility and incentive to transact through the app."

Companies are vying to build a big mass of loyal customers in the digital space as e-commerce grows, driven by increasing internet penetration and use of smartphones. According to data analytics company GlobalData, the Indian e-commerce market is expected to grow by 21.5 per cent and hit $74.8 billion (Rs 5.7 lakh crore) in 2022. "Two basic innovations—Aadhaar and UPI—have been big enablers for this growth," says Harish H.V., managing partner at ECube Investment Advisors. These, along with the pandemic, have lent a big boost to the digitisation of services.

However, these apps still have a long way to go before they can offer sophisticated services like WeChat or Alipay do in China. These apps bundle together online messaging (similar to WhatsApp), social media (similar to Facebook), marketplaces (like eBay) and services (like Uber). "One of the reasons for WeChat's success has been the stickiness and frequent usage of its core service—chatting. It provided a platform to integrate other services around it. This is a factor missing from superapps in India," says Mishra. He adds that strategic expansion of the app into newer and more "sticky" categories with the use of a loyalty programme can help bridge this gap.

It is now crucial for Tata Neu to see if existing customers of various Tata digital platforms are able to migrate to this omnibus one, with all its distractions. "Today, a BigBasket customer is used to navigating a particular app. How easy will it be for them to navigate a comprehensive app like Neu?" asks Harish. Moreover, big players like Amazon gained a large customer base by offering large discounts in the initial stages. The question then is whether the Tatas will be able to provide similar incentives to build a massive customer base.

So far, user reactions have been mixed. "It is not at all user-friendly. Onscreen options are not available. Very slow," commented Mehmood Mulla on Google Play Store. Another user, Anoop Shah, hopes the app will improve with time. "I think some more services will make the app more super by adding features like messaging, calling, standard newspaper, video lectures and classes...," he wrote. With consumer expectations high, the Tatas have a real challenge on their hands—scaling up the app so that it can make good on its myriad promises. That will also answer the larger question: is integration the way to go? ■